

**IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT- I) CHENNAI**

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **28.08.2025** THROUGH VIDEO CONFERENCE

PRESENT: HON'BLE SHRI SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

IN THE MATTER OF : IRP of M/s P Radhakumari

MAIN PETITION NUMBER : CP(IB)/227(CHE)/2022

(IA/MA) APPLICATION NUMBERS

IA(IBC)/440(CHE)2024

ORDER

CP(IB)/227(CHE)/2022

IA(IBC)/440(CHE)2024

Present: Ms. Lavanya, Ld. Counsel for Applicant.

Vide separate Order pronounced in open Court, Report of IRP is taken on record.

Petition is admitted.

Mr. B.Sathrukkanan is appointed as IRP.

-sd-

**[VENKATARAMAN SUBRAMANIAM]
MEMBER (TECHNICAL)**

MS

-sd-

**[SANJIV JAIN]
MEMBER (JUDICIAL)**

Date: 28.08.2025

**IN THE NATIONAL COMPANY LAW TRIBUNAL,
DIVISION BENCH – I, CHENNAI**

CP(IBC)/227(CHE)/2022

(Under Section 100 of the Insolvency and Bankruptcy Code, 2016)

Omkara Assets Reconstruction Pvt. Ltd.,
Kohinoor Square, 47th Floor,
N.C. Kelkar Marg, R.G. Gadkari Chowk,
Dadar (West),
Mumbai – 400 028.

... Petitioner / Financial Creditor

Versus

Mrs. P. Radhakumari
Personal Guarantor of
Uthara Fashion Knitwear Ltd.,
57, Elango Street,
Mahalingapuram,
Pollachi – 642 002.

... Respondent / Personal Guarantor

Along with

IA(IBC)/440(CHE)/2024

(Under Section 99 of the Insolvency and Bankruptcy Code, 2016)

Mr. B. Sathrukkanan,
Interim Resolution professional,
IBBI/IPA-001/IP-P00301/2017-18/10545
9A/1, Ramraj Mansion, 1st Floor, NRG Street,
KK Pudur,
Coimbatore – 641 038.

... Resolution Professional

CORAM

SHRI. SANJIV JAIN, MEMBER (JUDICIAL)

SHRI. VENKATARAMAN SUBRAMANIAN, MEMBER (TECHNICAL)

For Petitioner : Mr. T. Ravichandran, Advocate
For Respondent : Ms. N. Varsha, Advocate
For IRP : Mr. B. Sathrukkanan, PCS

Order pronounced on 28th August, 2025

COMMON ORDER

(Hearing through hybrid mode)

1. This Petition CP(IBC)/227(CHE)/2022 had been filed u/s. 95 of the Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as "IBC, 2016") r/w. Rule 7(2) of the Insolvency and Bankruptcy (Application to Adjudicating Authority for Insolvency Resolution Process for Personal Guarantors to Corporate Debtors) Rules, 2019 by Stressed Assets Stabilization Fund ("SASF / Financial Creditor") for initiating insolvency resolution process against **Mrs. P. Radhakumari** ("Personal Guarantor") of the Corporate Debtor **Uthara Fashions Knitwear Limited** with default amount of **Rs.20,95,31,043/-** (Rupees Twenty Crores Ninety Five Lakhs Thirty One Thousand and Forty Three Only) as on 10.11.2020. The Date of Default, as specified in Part-III of the Petition is 28.11.2002. However, there was issuance of Debt Recovery Certificate on 31.08.2009, and continuous acknowledgement of debt by the Corporate Debtor from 2011 till 2022. This petition has been filed on 15.10.2022.

2. Part – I of the petition sets out the details of the Petitioner / Financial Creditor. It has its registered office at Stressed Assets Stabilization Fund, 3rd Floor IDBI Tower, World Trade Centre, Cuffe Parade, Mumbai – 400 005. Part-II of the petition sets out the details of the Personal Guarantor. The address of the Respondent is mentioned as 73, Elango Street, Mahalingapuram, Pollachi, Coimbatore – 642 002. The Respondent stood as the personal guarantor in respect of the loans availed by **Uthara Fashion Knitwear Limited**, the Corporate Debtor.

3. In Part – III of the petition, the Petitioner has given the debt and default amount as Rs.20,95,31,043/- and the date of default as 28.11.2002.

4. It is stated that the Corporate Debtor availed financial assistance of Rs.600 Lakhs from IDBI vide Loan Agreement dated 02.03.2000. Pursuant to the said Agreement, IDBI disbursed Financial Assistance of Rs. 420.21 lakhs from time to time. The balance loan amount of Rs. 179.79 lakhs was cancelled by IDBI. Under the Transfer Deed dated 30.09.2004 executed by IDBI in favour of the SASF, IDBI unconditionally and irrevocably transferred and assigned to SASF the loan facility sanctioned by IDBI, including the loan granted to the Corporate Debtor herein, with an intent that the SASF shall be the full and absolute owner to receive the amounts payable to IDBI by the Corporate Debtor. It is stated that the facilities granted to the Corporate Debtor were guaranteed by the Respondent herein and the Respondent executed a deed of guarantee dated 02.03.2000 in favour of the IDBI guaranteeing repayment of credit facilities extended to the Corporate Debtor. It is stated that the Corporate Debtor failed to maintain the financial discipline and defaulted in payment of instalments. Consequently the account of the Corporate Debtor was declared as NPA on 29.05.2002 and IDBI issued a recall notice on 31.10.2002.

5. It is stated that that due to the failure on the part of the Corporate Debtor, IDBI filed an original application vide O.A. No. 413/2007 before Debts Recovery Tribunal-II at Chennai, against the Corporate Debtor and the Personal Guarantors of the Corporate Debtor for issuance of Recovery Certificate against the Corporate Debtor for a sum of Rs.5,37,28,928/- together with interest at 17% p.a. from the date of filing the application till the date of realization with costs. Vide order dated 19.06.2009, DRT-II disposed the application stating that the Corporate Debtor had availed loan and had defaulted in repayment, hence it is liable to pay the OA claim to IDBI. The Recovery certificate was issued against the Corporate

Debtor Uthara Fashions Knitwear and its personal guarantors on 31.08.2009. Subsequent to that, the loan of the Corporate Debtor was transferred to the SASF vide Transfer Deed dated 30.09.2009. Under the Transfer Deed dated 30.09.2004 executed by IDBI in favour of SASF, IDBI unconditionally and irrevocably transferred and assigned the loan/facility sanctioned by IDBI including the loan granted to the Uthara Fashions Knitwear Limited with intent that SASF shall be the full and absolute owner to receive the amounts payable to IDBI by the corporate debtor. It is stated that the SASF stepped in to the shoes of IDBI and became a secured creditor and is fully entitled to recover the debts in terms of the said transfer. SASF was accordingly substituted on the DRC in place of IDBI on 22.04.2015 in MA No.98/2014. It is stated that, the substitution was challenged in Review Application RA No. 3/2015 before the DRT-II to review the order passed in MA No.98/2014. DRT-II vide its order dated 29.02.2016 partly allowed the application, stating that the mortgaged property was not transferred in favour of SASF. It is stated that they had preferred an Appeal against the order in RA No. 3/2015 before the Hon'ble DRAT and the Tribunal vide its order dated 18.04.2018 allowed the Appeal by affirming the order passed by the DRT-II in MA No.98/2014 dated 22.04.2015.

6. It is stated that the Managing Director of the Corporate Debtor, Mr.V.Padmakumar had given an OTS proposal. It was accepted by SASF on 18.03.2009. Subsequent to which, the conditions in the OTS were not complied with. It is stated that the Guarantors, namely, the Respondent herein along with Mr.V.Padmakumar (Late) and Mr.N.Senathipathi had executed the Guarantee Agreement on 02.03.2000.

7. It is stated that SASF issued Notice under Section 13(2) of SARFAESI Act, 2002 on 09.03.2011 to the Corporate Debtor calling upon the Corporate Debtor to make payment of a sum of Rs. 12,02,32,476/-. However, the Corporate Debtor failed to discharge its liability and SASF initiated action against the Corporate Debtor U/s. 13(4) of the SARFAESI Act. It is stated that the Corporate Debtor had acknowledged its liability to IDBI (from whom the liability was transferred to SASF) in the audited balance sheet for the FY 2011-2012 & FY 2012-2013.

8. It is stated that based on the proposal dated 21.11.2013 given by the Corporate Debtor a 'Negotiated Settlement' was arrived between the parties on 27.05.2014 and the same was accepted by the personal guarantors including the Respondent herein. It is stated that the Negotiated Settlement was revoked on 22.01.2015 since the Corporate Debtor did not comply with the conditions.

9. It is stated that OTS proposals were given by the Corporate Debtor on various dates, i.e., on 30.01.2018, 27.09.2018 and 23.01.2020, but the same were not complied with.

10. It is stated that the debt was acknowledged by the Corporate Debtor and the Respondent from time to time. Further, on 10.11.2020 demand notice were issued by the SASF to the Personal Guarantors. Again on 05.04.2022, SASF issued demand notice to the personal guarantors, for which the guarantors objected vide letter dated 20.04.2022 stating that the claim through the demand notice is barred by limitation. SASF replied to the objection submitted by guarantors vide letter dated 28.04.2022 stating that the recovery certificate attained finality only on 18.04.2018 and despite notice sent to Respondent on 10.11.2020

demanding to pay unpaid debt, SASF did not receive any payments against the debt.

11. It is stated that CIRP has been initiated against the corporate debtor under Section 7 of IBC, 2016 vide an order dated 01.07.2022.

12. SASF has annexed the following documents along with this Petition in support of claim;

- a. Loan agreement dated 02.03.2000
- b. Letter of Guarantee dated 02.03.2000
- c. Recall notice invoking the guarantee dated 31.10.2002
- d. Guarantee Invocation letter dated 28.11.2002
- e. Letter Acknowledging the Debt viz., 30.01.2018, 27.09.2018
23.01.2020, executed by and the Respondent and Corporate Debtor
- f. Order dated 19.06.2009 passed by the DRT II, Chennai in
O.A.No.413/2007
- g. DRC No. 78/2009 dated 31.08.2009 issued by DRT II
- h. M.A.No.98/2014 in DRC No.78/09 in O.A.No.413/2007 dated
24.04.2015
- i. Corrigendum dated 30.04.2015
- j. Order dated 29.02.2016 passed by DRT II in RA 3 of 2015
- k. Order dated 18.04.2018 passed by DRAT in MA 161/2017
- l. Form B served on the Guarantor/Respondent dated 05.04.22
- m. Reply to Form B dated 25.04.2022
- n. Reply of the Applicant to the Respondents Reply to Form B
dated 28.04.2022

o. Order passed by NCLT-II, Chennai in IBA/895/2019 dated 01.07.2022 initiating CIRP

p. Record of Default with Information Utility

13. REPORT FILED BY THE IRP IN IA(IB)/440(CHE)/2024

13.1. This Tribunal vide an order dated 20.12.2023 appointed Mr. B. Sathrukkanan with Reg. No. IBBI/IPA-001/IP-P00301/2017-2018/10545 as Interim Resolution Professional (IRP). Pursuant to his appointment the IRP filed the report vide Sr.No.505 dated 08.01.2024.

13.2. In the report it is stated that SASF has provided a record of default of the Corporate Debtor from Information Utility NeSL as on 04.08.2020 for Rs.20,91,55,534/-. On 05.04.2022, the financial creditor has issued demand notice to Mrs.P.Radhakumari, for Rs.20,95,31,043/- being outstanding as on 10.11.2020. No repayment was received thereafter. In IBA/895/2019 vide order dated 01.07.2022 CIRP was initiated against the Corporate Debtor under Section 7 of IBC, 2016. RP of the Corporate Debtor submitted a Resolution Plan for the approval of the Tribunal. It is stated that RP sent an email to the Personal Guarantor on 25.12.2023 requesting to provide the proof for repayment of dues as provided under Section 99(2) of IBC, 2016. It is stated that Mr. P. Nishanth, son of the Personal Guarantor contacted the IRP over phone, but no reply was received as on the date of report.

13.3. The IRP after examination of the petition has recommended for the admission of the petition by the Financial Creditor u/s. 95 of IBC, 2016.

14. REPLY FILED BY RESPONDENT TO IRP REPORT

14.1. In response to the IRP report, the Respondent has filed her reply vide Sr.No.4137 dated 16.08.2024, stating that the demand notice was sent only on 05.04.2022. The date of default in the information utility is 30.10.2002. It is stated that date of issuance of recovery certificate by DRT

is undisputed i.e., 18.04.2018. However, the present Petition was filed by the erstwhile petitioner on 15.10.2022 and the same deserves to be dismissed as time barred.

14.2. It is stated that the account of the Corporate Debtor became NPA in 2002 and the guarantee was invoked on 28.11.2002. An Original Application was filed before DRT by IDBI and recovery certificate was issued on 31.08.2009 in favour of IDBI bank. It is stated that the SASF issued a demand notice dated 09.03.2011 under Section 13(2) of the SARFAESI Act directing the Respondent to discharge the liability in full as a guarantor and on being the invocation of the guarantor agreement, the Petition should have been filed within 3 years from the date of the 1st notice of invocation.

14.3. It is stated that notwithstanding the aforementioned, in demand notice dated 05.04.2022 issued by SASF the date of default has been mentioned as 18.04.2018. However, the Petition was only filed in the year 2022, thus warranting its dismissal on this ground as well.

15. WRITTEN SUBMISSIONS FILED BY PETITIONER / FINACIAL CREDITOR

15.1. The Petitioner has filed the written submissions vide Sr.No.2680 dated 04.07.2025. It is stated that the guarantee deed reveals that the guarantee is a continuing guarantee and shall remain in force and effect till such time the borrower repays the amount in full the loan availed along with interest, liquidated damages, costs, charges and all other monies that may from time to time become due and payable and remain unpaid to the lenders under the loan agreement. Ld. Counsel referred to

the judgment in the case of **Bank of Baroda Vs. Ramkhumar Narasimhan, CP(IB)/238(CHE)/2021**. The relevant paragraph is extracted as under:

"10. Section 128 of the Indian Contract Act, 1872, provides that when a default is committed, the Principal Borrower and Surety are jointly and severally liable to the Creditor and the Creditor has right to recover its dues from either of them or from both of them simultaneously. Section 128 of the Indian Contract Act, 1872 is reproduced hereunder:

The liability of the surety is co-extensive with that of the principal debtor, unless it is otherwise provided by the contract."

15.2. It is stated that as per Clause 11 and Clause 18 of the Guarantee Agreement the liability of the surety is co-extensive with that of the principal debtor. The extracts of the clauses as per the Guarantee Agreement are reproduced below:

(11) To give effect to this Guarantee, the Lender may act as though the Guarantors was the principal debtor to the Lender.

(18) This Guarantee shall be a continuing one and shall remain in full force and effect till such time the Borrower repays in full the Loan together with all interest, liquidated damages, costs, charges and all other moneys that may from time to time become due and payable and remain unpaid to the Lenders under the Loan Agreement.

15.3. It is stated that the only contention raised by the Respondent is that the debt is barred by limitation, since the application has been filed much after the DRC was issued on 31.08.2009. It is stated that vide order dated 01.07.2022 in IBA/895/2019, CIRP was initiated by this Tribunal and there was a continuous acknowledgment of debt by the corporate debtor since 2011-12 and 2012-13 as it is seen in the balance sheet of the Corporate Debtor. In paragraph 14 of the order, the Tribunal has recorded the following dates.

21.11.2013	OTS proposal was given by the Respondent.
27.05.2014	A 'Negotiated Settlement' was arrived between the parties.
22.01.2015	The Negotiated Settlement was revoked since the Corporate Debtor did not comply with the conditions
30.01.2015	OTS Proposal received from the Corporate Debtor.
27.09.2018	The Respondent through email communication once again made an OTS proposal acknowledging the debt.

15.4. It is stated that based on the acknowledgment dated 27.09.2018, this Tribunal initiated the CIRP proceedings against the corporate debtor. It is stated that apart from this, there was another acknowledgment of the corporate debtor, vide email dated 23.01.2020 regarding the OTS. The copy of the email is reproduced below:

From: Indu Amaz [mailto:amazelectronics@gmail.com]
Sent: 23 January 2020 14:54
To: Snelia Abhyankar; Neelam R Palwankar
Subject: OTS of uthara fashion knitwear ltd

This mail originates from outside our organisation.
Please be extra vigilant before you click on a link, open attachments or reply.

From
V.Padmakumar
Managing Director
Uthara Fashion Knitwear Ltd
73,Elango street,
Mahalingapuram,
achl 642602

To
The Chief General Manager
SASF
IDBI Tower,
Mumbai

Ref: ufkl / 01-jan 23/sasf/2020
Date 23-01-2020

Dear sir
sub : Our OTS plan consideration

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Ref My personal visit to your office in December 2019 for OTS discussion with CGM.
As per your request at our meing with CGM and DGM I here by submit our OTS plan.

Our company M/s Uthara Fashion Knitwear Ltd was sanctioned certain credit facilities Rs 600 lacs by IDBI and other consortium bank SBI,SBH each 200 lakhs project rs termloan in the year 2000.However due to default in disbursing the complete loan amount IDBI our company became sick and also other consortium bank SBI,SBH unable to proceed disbursement though all three banks created security .

The account of the company was classified as NPA in the year 2002 because unable to pay dues in time ,IDBI dispersed only rs 236 lacs for the project and taken rs 200 lakhs from the term loan-towards adjustement of over dues and calculated rs 436 lacs as principal borrowed ammount.

In the mean time IDBI transfered the debts to SASF in 2005 with out assining the company assets in the favour of sasf which is confirmed by the DRTA .

Due to IDBI default we were unable to complete the project and start commercial production and our company unable to serve the interest dues to IDBI.IDBI declare our account NPA in 2002.

We are now planning to revive the project with additional investment from the new investors and new investor is willing to settle sasf over dues in one time as follows.

Our new invaester will pay Rs 426 lakhs as OTS for which our new investor will deposit Rs 10 lacs as a token amount in your No lin account , Once you have agreed our OTS request,we will remit the balance amount within 6 months after deduction rs 25 lakhs which we have already deposited with sasf in march 2009 towards loan payment.

Hearing from you we would like to proceed for OTS.we can remit the token amount immediately.

Alternatively we may prefer to issue our company promoters shares in the favour of SASF/IDBI for this value of rs 426 lacs and you appoint your Director in our company with out Board of Directors to monitor the project .you may allow us to borrow additional loan amount from other banks or financial institutions to complete the project.

Hope your early reply.
Thanking you,

pls note

our new investor willing to finalize the settlement plan within 15 days say before 08/03/2015 failing which the new investor may prefer to leave the project and go for their own project plan.so we may kibly request you to consider our OTS request.

if you need any personal meeting in this conection I can visit your office at your convenient time

your trully,
padmakumar
managing director
utharafashion knit wear ltd
cont:9751619751
il:amazelectronics@gmail.com

15.5. It is stated that, there was continuous acknowledgment of debt since 2009 till date. Ld. Counsel also referred to the judgments of Hon'ble Supreme Court in *Dena Bank Vs. C.Shivakumar Reddy & Anr (2021) 10 SCC 330* and *Lakshmipat Surana Vs. Union Bank of India & Anr. (2021) 8 SCC 481*. It is stated that the petition is well within the period of limitation.

15.6. It is stated that the Petitioner has filed a memo vide Sr. No. 2254 dated 04.08.2025 enclosing the copies of the OTS proposals given by the Corporate Debtor dated 21.11.2013 and 30.09.2015.

16. WRITTEN SUBMISSIONS OF RESPONDENT / PERSONAL GUARANTOR

16.1. The Respondent has filed the notes on submission vide Sr. No.2706 dated 07.07.2025. It is stated that the Recovery Certificate was issued on 31.08.2009. The time between the Recovery Certificate and the demand notices has exceeded the three-years limitation period prescribed under Section 137 of the Limitation Act, 1963. The present Petition has been filed only in the year 2022. The Petitioner cannot rely on the Hon'ble Supreme Court's order extending limitation due to COVID-19, as there is no evidence of debt acknowledgment or legal extension of limitation by the Personal Guarantor. The Petition has been filed after an excessive delay of 13 years and is clearly barred by limitation.

16.2. Ld. Counsel referred to the judgments of the Hon'ble Supreme Court in *Dena Bank vs. C. Shivakumar Reddy & Anr. (2021) 10 SCC 330* while discussing at length Sections 14 & 18 of the Limitation Act, where it was held that the Judgment and/or decree for money in favour of the 'Financial Creditor', passed by DRT, or any other Tribunal or Court, or the

issuance of a certificate of recovery in favour of the 'Financial Creditor', would give rise to a fresh cause of action for the 'Financial Creditor', to initiate proceedings under Section 7 of the Code, if the dues of the 'Corporate Debtor' under the Judgment/decreed or any part thereof remained unpaid. On the similar lines, there is also decision of the Hon'ble Supreme Court in *Asset Reconstruction Company Ltd. vs. Hotel Poonja International Pvt. Ltd. (2021)7 SCC 352*.

16.3. It is stated that following these judgments, it is clear that a Recovery Certificate provides a fresh cause of action for initiating IBC proceedings. However, as held by this Tribunal in its Order dated 05.06.2025 in *State Bank of India vs. K. Padmanaban (2025) ibclaw.in 725 NCLT*, even though a Recovery Certificate gives a fresh cause of action, the limitation period for filing an insolvency application under Section 95 of the IBC is only three years, not twelve years. In this case, the Recovery Certificate was issued in 2009. Therefore, the Petition under Section 95 of the IBC could have been filed within three years from that date to be within limitation.

16.4. It is stated that, regarding the tabular details referred to in the Tribunal's order admitting the CIRP, the Respondent's husband has filed an appeal. After his demise, the Respondent has been substituted in the appeal, which is posted on 14.07.2025.

16.5. It is stated that on an examination of dates mentioned, specifically 30.01.2015 and 27.09.2018, it is evident that the Petitioner's claim is barred by limitation. As per Section 18 of the Limitation Act, an acknowledgment of debt can extend the limitation period only if it is made in writing before the expiry of the original limitation period. In this case, to validly extend the limitation, the acknowledgment should have been made

before 29.01.2018. Assuming without admitting that the debt was extended even after the issuance of the Debt Recovery Certificate, the alleged acknowledgment dated 27.09.2018 was made after the expiry of the extended limitation period, and as such, the Petition remains hopelessly barred by limitation.

16.6. It is stated that in any event, assuming without admitting, that the alleged One-Time Settlement (OTS) letter issued by the Corporate Debtor on 21.11.2013 could extend the limitation, however in the present case, this OTS letter was issued after the expiry of the initial three-year limitation period calculated from the date of issuance of the Debt Recovery Certificate on 31.08.2009.

16.7. It is further stated that once limitation has expired, any new acknowledgement by the Corporate Debtor or by the Respondent herein will not extend the limitation that has already expired as early as in the year 2012.

16.8. It is stated that the below shows the timeline as to how the present Petition is barred by limitation:-

28.11.2002	Invocation of Guarantee by the Petitioner
19.06.2009	Order passed in O.A No. 413 of 2007 passed by Hon'ble DRT- II, Chennai
31.08.2009	Recovery Certificate issued.
21.11.2013	OTS letter given by the principal borrower(Corporate Debtor). Cause of Action arose on 31.08.2009 and the acknowledgment of Debt was only after the 3 year period. Hence this Petition is barred by limitation.
27.05.2015, 22.01.2015	Negotiated settlement was arrived between the parties and the same was revoked on 22.01.2015
30.01.2015	OTS proposal received
27.09.2018	OTS proposal.

16.9. It is stated that perusal of the above table shows that the Petitioner has lost its right to file a Petition under Section 95 of the IBC, as the cause of action arose as early as in 2009. Filing the present Petition in 2022 is clearly beyond the prescribed limitation. The Petitioner cannot claim the benefit of the Hon'ble Supreme Court's order extending limitation due to COVID-19, as the limitation had expired long before the onset of COVID-19.

17. OBSERVATIONS AND FINDINGS OF THIS TRIBUNAL

17.1. Heard the submissions made by Learned Counsels for Petitioner, Respondent and perused the report of the RP.

17.2. The RP in his report has observed that the Petitioner satisfies the requirement as set out in Section 95 of IBC, 2016. He has accordingly recommended for admission of the present petition.

17.3. It is seen from the records that, the Corporate Debtor had taken the loans which it failed to pay. The Respondent herein had stood as the personal guarantor to the loan availed by the Corporate Debtor. The Respondent had also entered into an on-demand and continuous guarantee. The Respondent has not denied that the Corporate Debtor's account had become a non-performing asset. The Respondent has also not denied having executed personal guarantee in favour of the Corporate Debtor.

17.4. Section 128 of the Indian Contract Act, 1872, provides that when a default is committed, the Principal Borrower and Surety are jointly and severally liable to Creditor and the Creditor has the right to recover its dues from either of them or from both of them simultaneously. Section 128 of the Indian Contract Act, 1872 is reproduced hereunder:

"The liability of the surety is co-extensive with that of the principal debtor, unless it is otherwise provided by the contract."

17.5. In the instant case, the Respondent does not have any proof to show that the guarantor's liability is relinquished or released subsequent to the CIRP process of the Corporate Debtor.

17.6. We therefore hold that, the liability of the Corporate Debtor to pay the Financial Creditor is coextensive with that of Personal Guarantor. Until all the debt and default amount is recovered, the Financial Creditor can pursue its claim against the Personal Guarantor.

17.7. The Respondent has contended that, the present petition has been filed beyond limitation period as the Debt Recovery Certificate was issued on 31.08.2009 and the limitation period ends within 3 years. Per contra, the Petitioner has stated that, the petition is within the period of limitation as the DRT, Chennai the issued the Debt Recovery Certificate on 31.08.2009 against the Corporate Debtor and the Guarantors. Following which a SARFAESI notice dated 09.03.2011 was issued, and subsequently there was a negotiation settlement proposed on 21.11.2013 and was accepted by Personal Guarantor on 27.05.2014, further the negotiated settlement was revoked on 22.01.2015 since the Corporate Debtor did not comply with the conditions. Subsequent to that, IDBI was substituted by SASF in DRT vide order dated 22.04.2015. Later, the substitution was challenged in the Review Application vide RA No. 3/2015 in MA/98/2014 against which an Appeal No.161/2017 was preferred before Hon'ble DRAT. The Hon'ble DRAT upheld the substitution of SASF under the DRC vide order dated 18.04.2018. Thus, the Amendment to the Recovery Certificate attained finality. Thereafter, various mails dated 30.01.2018, 27.09.2018 and 23.01.2020 were sent regarding the OTS proposal. Further, on 05.04.2022 demand notice under Form B was issued to the Respondent.

18. With regards to limitation, it is relevant to refer to the Judgment of Hon'ble Supreme Court in the case of *Dena Bank (Now Bank of Baroda) versus C. Shivakumar Reddy & Anr. (2021) 10 SCC 330* it was held that the Judgment and/or decree for money in favour of the Financial Creditor, passed by DRT, or any other Tribunal or Court, or the issuance of a certificate of recovery in favour of the 'Financial Creditor', would give rise to a fresh cause of action for the 'Financial Creditor', to initiate

proceedings under Section 7 of the Code, if the dues of the 'Corporate Debtor' under the Judgment/decreed or any part thereof remained unpaid. The relevant paragraph is reproduced as hereunder:

"141. Moreover, a judgment and/or decree for money in favour of the financial creditor, passed by the DRT, or any other tribunal or court, or the issuance of a certificate of recovery in favour of the financial creditor, would give rise to a fresh cause of action for the financial creditor, to initiate proceedings under Section 7 IBC for initiation of the corporate insolvency resolution process, within three years from the date of the judgment and/or decree or within three years from the date of issuance of the certificate of recovery, if the dues of the corporate debtor to the financial creditor, under the judgment and/or decree and/or in terms of the certificate of recovery, or any part thereof remained unpaid."

19. Thus, in terms of the Hon'ble Supreme Court judgment in the case of Dena Bank, *Supra*, Debt Recovery Certificate dated 31.08.2009, gave rise to a fresh cause of action to file the Petition. We find that there was continuous acknowledgment of debt by the Corporate Debtor since 2009 till 2022, such as date of issuance of recovery certificate dated 31.08.2009, acknowledgment given by Corporate Debtor in its balance sheet for FY ending 31.03.2012 and 31.03.2013, OTS proposals given by the Corporate Debtor on 21.11.2013, 30.09.2015, 30.01.2018, 27.09.2018 and 23.01.2020. This petition has been filed on 15.10.2022. Thus, considering the date of issuance of recovery certificate and the date on which the Petition has been filed, we are of the opinion that this Petition is within limitation.

20. It is stated that the Petitioner is entitled to a benefit of limitation for the period from 15.03.2020 to 28.02.2022 as extended by ***Hon'ble Supreme Court in Suo Moto W.P. (Civil) No. 3 of 2020***. In terms of Hon'ble

Supreme Court order in MA/21/2022 in WP 3 of 2020, the period between 15.03.2020 to 28.02.2022 shall be excluded. Therefore, we hold that the present petition having been filed on 15.10.2022 will fall squarely under the limitation period.

21. An IA(IBC)/2422(CHE)/2024 was filed seeking substitution of Petitioner (SASF) in CP(IB)/227(CHE)/2022. It was stated that the debts have been assigned by the SASF to Omkara Assets Reconstruction Private Limited vide Assignment agreement dated 31.08.2024. Considering the facts, the application was allowed and Omkara Assets Reconstruction Private Limited was substituted as the Petitioner in CP(IB)/227(CHE)/2022 vide order dated 19.12.2024. Accordingly, the amended memo of the parties was filed vide Sr. No. 269 dated 20.01.2025.

22. In the light of the aforesaid observations, the present Petition i.e. CP(IB)/227(CHE)/2022 is admitted. The Insolvency Resolution Process stands initiated against **Mrs. P. Radhakumari** viz. the Respondent herein.

23. In the instant case, the Petitioner has proposed the name of the Insolvency Professional **Mr. B. Sathrukkanan**. Considering the above facts and the case supra, we appoint **Mr. B. Sathrukkanan (Email ID: prathyumnannan2002@yahoo.com, Phone No: 77080 36906) with Reg. No. IBBI/IPA-001/IP-P00301/2017-2018/10545 (AFA valid till 31.12.2025)** as the IRP.

24. We hereby direct as follows;

- I. Initiate Insolvency Resolution Process against the Respondent/Personal Guarantor. The moratoriums in relation to all the debts is declared, from today i.e. date of admission of the application, and shall cease to have effect at the end of the period

of 180 days, or this Tribunal passes order on the repayment plan under Section 114 whichever is earlier as provided under Sec 101 of IBC, 2016. During the moratorium period,

- a. Any pending legal action or proceeding in respect of any debt shall be deemed to have been stayed, and
- b. The creditors of the debtor shall not initiate any legal action or proceedings in respect of any debt; and
- c. The debtor shall not transfer, alienate, encumber, or dispose of any of his assets or his legal rights or beneficial interest therein:
- d. The provisions of this section shall not apply to such transactions as may be notified by the Central Government in consultation with any financial sector regulator.

II. The Resolution Professional viz. **Mr. B. Sathrukkanan with Reg. No. IBBI/IPA-001/IP-P00301/2017-2018/10545**, Insolvency Resolution Professional is directed to cause a public notice published on behalf of the Adjudicating Authority within 7 days of passing this Order on the website of the NCLT Chennai Bench, inviting claims from all Creditors, within 21 days of such issue The notice under Sub Section (1) of Section 102(2) shall include: -

- a. details of the order admitting the application;
- b. particulars of the resolution professional with whom the claims are to be registered; and
- c. the last date for submission of claims.

III. The publication of notice shall be made in two newspapers, one in English and other in Vernacular, which have wide circulation

in the State where the Corporate Debtor and Personal Guarantor reside. The Resolution Professional shall furnish two spare copies of the notice to the Registry for the record.

IV. The Resolution Professional, in exercise of the powers conferred under Section 104, shall prepare a list of creditors on the basis of:

- a. the information disclosed in the application filed by the debtor under Sections 94 or 95 as the case may be, and
- b. claims received by the Resolution Professional under Section 102 within 30 days from the date of the notice. The debtor shall prepare a repayment plan under Section 105, in consultation with the Resolution Professional, containing a proposal to the Creditors for restructuring of his debts or affairs.

The repayment plan may authorize or require the Resolution Professional to:

- a. carry on the debtor, business or trade on his behalf or in his name; or
- b. realise the assets of the debtor; or
- c. administers or dispose of any funds of the debtor.

The repayment plan shall include the following, namely;

- a. justification for preparation of such repayment plan and reasons based on which the creditors may agree upon the plan;
- b. provision for payment of fee to the Resolution Professional;
- c. such other matters as may be specified.

V. The Resolution Professional shall submit the repayment plan along with his report on the plan to this Authority within a period of 21 days from the last date of submission of claims, as provided under Section 106.

- VI.** In case the Resolution Professional recommends that a meeting of the creditors is not required to be called, he shall record the reasons thereof. If the Resolution Professional is of the opinion that a meeting of the creditors should be summoned, he shall specify the details as provided under Section 106(3) of IBC, 2016. The date of meeting should not be less than 14 days or more than 28 days from the date of submission of the Report under subsection (1) of Section 106 of IBC, 2016, for which at least 14 days' notice to the creditors (as per the list prepared) shall be issued by all modes. Such notice must contain the details as provided under the provisions of Section 107 of IBC, 2016.
- VII.** The meeting of the creditors shall be conducted in accordance with Sections 108, 109, 110 & 111 of IBC, 2016. The Resolution Professional shall prepare a report of the meeting of the creditors on repayment plan with all details as provided under Section 112 of IBC, 2016 and submit the same to this Tribunal, copies of which shall be provided to the Debtor and the Creditors. It is made clear that the Resolution Professional shall perform his functions and duties in compliance with the Code of Conduct provided under Section 208 of IBC, 2016.
- VIII.** The Resolution Professional shall submit his periodic reports before this Tribunal, every 30 days.
- IX.** The Petitioner is directed to deposit Rs.3,00,000/- (Rupees Three Lakhs only) to the bank account of the Resolution Professional within one week of this order, towards his fees and expenses. This shall be subjected to the rules and regulations under the provisions of the Insolvency and Bankruptcy Code, 2016.

X. The Registry is directed to communicate to the concerned parties a copy of order within seven working days and upload the same on the website immediately after the pronouncement of order.

25. Accordingly, **CP(IB)/227(CHE)/2022** stands **admitted**.

-Sd-

VENKATARAMAN SUBRAMANIAM
Member (Technical)

-Sd-

SANJIV JAIN
Member (Judicial)

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